

₹ 26,209 CRORES
TOTAL PROJECT PAYMENTS

₹ 80,363 CRORES
APPROVED AMOUNT IN 1057 PROJECTS

₹ 33,174 CRORES
TOTAL FUNDS RAISED BY KIIFB

₹ 15,410 CRORES
FUNDS FROM STATE GOVERNMENT

₹ 17,764 CRORES
FUNDS RAISED FROM FINANCIAL MARKET

alized under the Kerala Infrastructure Investment Fund (KIIF) Act with the primary objective of mobilizing funds and facilitating investments in critical infrastructure projects across the State. The enacted KIF Act was further amended to revamp the structure, as well the quality and timeline of the projects also became the objectives of KIIFB. With its formation, Kerala gained a dedicated institution focused on catalysing infrastructure growth by bridging the funding gap and leveraging public and private resources.

Q: How does KIIFB ensure liquidity when Kerala has limited internal resources?

KIIFB has an extensive and transparent system to ensure the availability of funds. As stipulated in the KIIF Act, KIIFB has been sourcing funds from various entities and employs several strategies to ensure liquidity and maintain a steady flow of funds for infrastructure development. The assured income of KIIFB is Petroleum Cess and the part of Motor Vehicle Tax (MVT). The other source of funds are loans and bonds raised from the banks and other financial institutions based on the assured income and the project repayments. Apart from this, KIIFB harnesses funds through innovative schemes such as the KSFE Pravasi Chitty and Pravasi Dividend Scheme, attracting investments from the diaspora community for infrastructure development activities. KIIFB has successfully attracted the attention and interest of international financial institutions through its robust project pipeline, effective risk management, and innovative financing mechanisms. Its track record of timely project execution and commitment to sustainable development has further enhanced its credibility. It became the first sub-sovereign entity in India to raise money from the international market through masala bonds. An amount of Rs. 2150 crore has been raised in this way. The KIIFB has also developed an Asset Liability Model (ALM) based on Artificial Intelligence and Machine Learning Algorithms for managing liquidity risks. The Asset Liability Model (ALM) serves as a strategic tool and helps KIIFB to anticipate the changing funding requirements in line with the increasing number of projects and to ensure the availability of funds for repayment. By aligning its assets and liabilities, KIIFB minimizes liquidity risks, optimizes returns on investments, and ensures the availability of funds when needed for project implementation. The borrowing and execution of development works by KIIFB have raised discussions about the potential risk of pushing the state into a debt trap in the future. KIIFB takes loans only accordingly after ensuring the return for repayment. KIIFB's approach to borrowing is guided by careful financial management, project viability, and sustainable development goals. Therefore, it is ensured that

